Eli Lilly and Company

NYSE: LLY | Pharmaceuticals — Cardiometabolic, Oncology, Immunology, Neuroscience | Valuation date 30 October 2026 | Debjit Mukherjee, IB Independent

REDUCE **Fair value: $854 | CMP: $1,417.54 (close, 30-Oct-2026) | Downside: −39.7% (total return −39.2%)**

Rated on total return against the US 10-year Treasury at 4.94%: BUY above the 8.85% cost of equity, ACCUMULATE above 6.94%, HOLD between zero and that hurdle, REDUCE below zero. First rating on Lilly; the stage-1 historical model was built on 6 October and finished after the Q3 print.

Investment Summary

Our disagreement with the Street is not about earnings. It is about what they are worth. Our FY2027E underlying EPS is $47.02, within 1% of the S&P Global consensus the week before the print ($47.22, 26 October); the post-print figure was not available to us. At $1,417.54 Lilly trades on 30.1x our FY2027E EPS, against a peer median of 16.4x and a top quartile of 18.6x. The whole debate is whether Lilly deserves that premium for long enough to grow into it.

The quarter was excellent and we model it that way. Q3 revenue rose 39% to $24.4bn: volume +53%, realised price −15%. Mounjaro ($10.7bn, +65%) and Zepbound ($5.35bn, +49%), one molecule (tirzepatide), now make up two-thirds of sales. Lilly lifted 2026 revenue guidance by $5.5bn at the midpoint to $91–92bn and its performance margin to 52.0–52.5%. Underlying EPS guidance rose $4.07; the reported range fell to $35–36 only because Q3 carried $4.57 a share of acquired IPR&D. The stock rose 10% in the two sessions after the print, to a record.

What the price needs. Value Lilly at the end of 2028, when our forecast has revenue growth near 10%, and the price only works at 29.7x FY2029E earnings. The peers' top quartile is 18.6x; a line fitted through the peers' P/E against their growth gives 21.8x for 10% growth. The price needs 8 turns more than even that. Put the other way, our DCF only reaches the price at a 6.22% discount rate, 1.3 points over a Treasury, or with roughly 18 points more revenue growth every year from 2027 to 2030.

REDUCE, fair value $854. A DCF ($777), a P/E exit ($895) and an EV/EBITDA exit ($987), weighted 50/30/20. Our bull case, with three more points of growth every year to 2030, a stronger margin, cheaper business development, 3.5% terminal growth and 24x/18x exits, is $1,108. Still a REDUCE. This is a valuation call, not a call on the drugs.

Results Review — Q3 2026 (reported 29 October)

$m	Q3 2026	Q3 2025	Change
Revenue	24,397	17,601	+39%
Mounjaro / Zepbound	10,723 / 5,352	6,515 / 3,588	+65% / +49%
Gross margin (reported)	83.9%	82.9%	+1.0pt
Acquired IPR&D	4,181	656	AtaiBeckley, Curevo
Net income (reported)	6,451	5,583	+16%
EPS reported / non-GAAP ($)	7.22 / 7.48	6.21 / 7.02	+16% / +7%
Acquired IPR&D per share inside EPS ($)	4.57	0.71	

Q3 revenue carried about $900m of benefits: $410m of Jardiance sales milestones (none remain) and favourable changes to rebate and discount estimates. The CFO put the 2026 total that will not recur at about $2bn. Foundayo, the oral GLP-1, sold $184m in its first full quarter, below the roughly $208m the Street expected before the print. Outside the US, price fell 29%, mostly Mounjaro's inclusion in China's national reimbursement list.

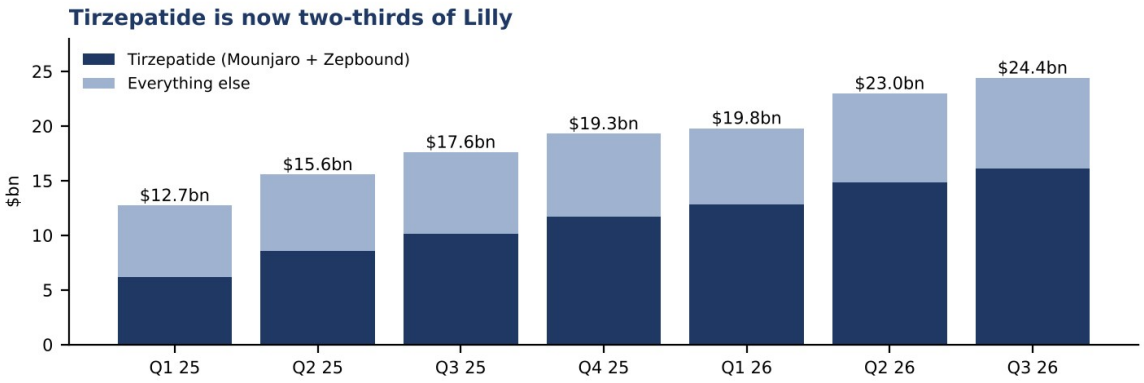


Chart 1. Quarterly revenue, $bn. Source: Lilly 8-K releases and the Q3 2026 10-Q; model (Quarterly, Product Revenue).

Business development is the cost the headline EPS hides. Lilly paid $18.2bn for business development in the first nine months of 2026, 27% of revenue: $7.5bn expensed as acquired IPR&D, which the 2026 EPS guide includes, and $10.7bn capitalised as acquisitions, which never reach EPS. The guide excludes any IPR&D after 30 September, and Lilly bought Merida for up to $2.9bn in October. We value the business with a normal year's spend of 5% of revenue (FY2021–FY2025 averaged 7.9%), deducted as cash and not tax-deductible.

Snapshot

Metric	Value	Read
Price (30-Oct-2026)	$1,417.54	Record intraday high on 30-Oct; +10% in the two sessions after the print
P/E, our FY2027E EPS	30.1x	Peer median 16.4x, top quartile 18.6x (seven US-reporting peers)
EV / LTM EBITDA before IPR&D	28.1x	Peer median 14.5x, top quartile 17.1x
FY2026E revenue / underlying EPS	$91.5bn / $42.85	Guide midpoint; $43.62 before acquired IPR&D on the guide basis
FY2027E revenue / EPS (ours)	$102.5bn / $47.02	Consensus $47.22 before the print; ~$104bn revenue after it
FY2030E revenue / EBIT margin	$136.4bn / 48.9%	Growth fades 12% → 8% as price cuts and IRA prices bite
Dividend yield, next 12 months	0.54%	$1.73 declared for Q4; FY2027E $7.96

Valuation

Three methods, one question: what is Lilly worth once its growth looks like everyone else's? A pharma company's value rests on how long its lead lasts. Tirzepatide's US compound patent runs to about 2036, so we forecast ten years and let growth and margin fade: revenue +12% in 2027 and 2028, slowing to 3% by 2035; performance margin from the 52.25% guide to 46%.

Method	Value/share	vs price	Weight	Key input
FCFF DCF, 10 years	$777	−45%	50%	WACC 8.68%, terminal growth 3%; terminal value 64% of EV
P/E exit at end-2028	$895	−37%	30%	$56.79 FY2029E × 18.6x, discounted at 8.85%
EV/EBITDA exit at end-2028	$987	−30%	20%	FY2028E EBITDA × 17.1x trailing, less net debt
Blended fair value	$854	−39.7%	100%	Total return −39.2% with the 0.54% dividend

Why the top quartile, and what a growth adjustment adds. By FY2029E our Lilly grows about 10% a year, faster than any peer today (AbbVie 9%, median 4%). The top quartile (18.6x P/E, 17.1x EV/EBITDA) is set by Johnson & Johnson, Amgen and AbbVie. Fitting the peers' P/E to their growth (R^2 0.70) gives 21.8x for Lilly's 10%; on that multiple the blended fair value is $900, still REDUCE. Sensitivities shows 20–30x.

Which method carries the call. The DCF supplies 57% of the gap between price and fair value. Without it, the two exit methods alone give $932, a total return of −33.7%: still REDUCE.

The discount rate. A regression beta for Lilly is 0.45, with an R^2 of 0.05: the stock moves on trial news, not the market. We use Damodaran's bottom-up pharma beta, relevered to 0.93, for a 8.85% cost of equity. On the regression beta the DCF rises to $1,212, still −14% below the price. Damodaran's 4.20% equity risk premium (1 October) was computed at a higher Treasury yield than 30 October's; implied premiums rise as yields fall, so this choice flatters the DCF. So does the terminal value (64% of EV): 3% growth after 2035 needs a 17% return on new capital, generous for a company whose main molecule loses US compound patent protection around 2036.

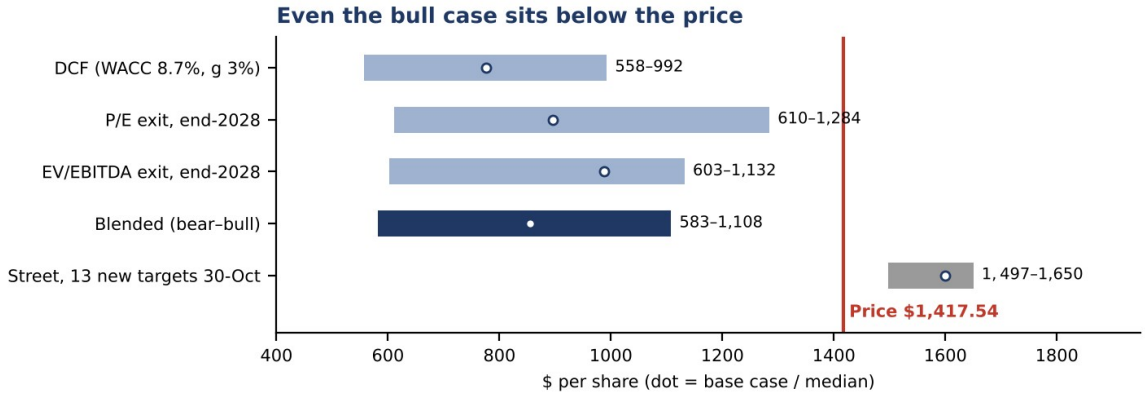


Chart 2. Value by method, bear to bull, against the post-print Street targets and the price. Source: model (Scenarios, Valuation, Guidance & Street).

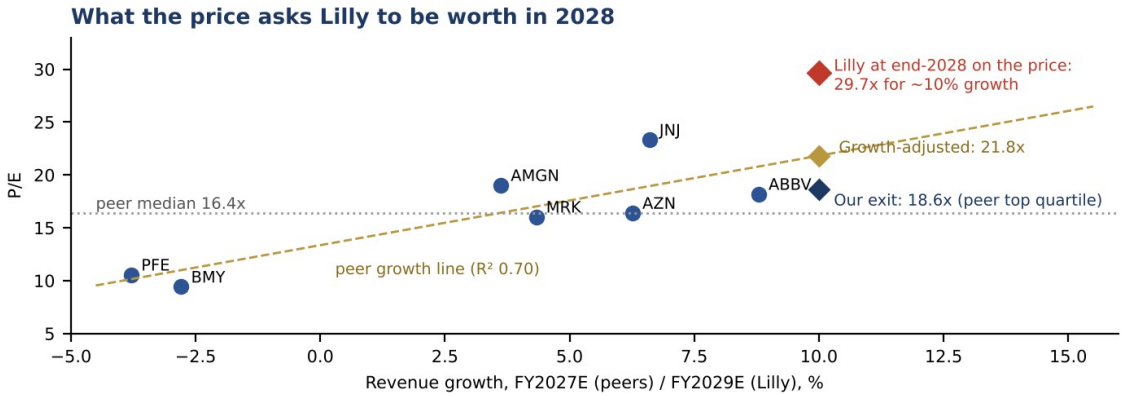


Chart 3. Peer P/E on FY2027E EPS against revenue growth, and the multiple the price needs Lilly to hold at the end of 2028. Source: model (Peer Comps, Valuation).

Scenario	Growth 2027–30	Margin	BD % rev	Term. g	Exit P/E / EV/EBITDA	Fair value	Total return
Bear	base −4pt/yr	−3.0pt	6%	2.5%	15x / 12x	$583	−58.4%
Base	12%, 12%, 10%, 8%	52%→46%	5%	3.0%	18.6x / 17.1x	$854	−39.2%
Bull	base +3pt/yr	+1.5pt	4%	3.5%	24x / 18x	$1,108	−21.3%

Every method re-runs in each scenario. All three are REDUCE: the call does not rest on one input.

Cross-Check Against Third-Party Views

At least thirteen brokers updated their targets on 30 October: JPMorgan $1,650, Citi $1,650, BMO $1,650, UBS $1,625, Truist $1,612, Scotiabank $1,605, Morgan Stanley $1,596, Argus $1,550, Wells Fargo $1,500, Bank of America $1,497, RBC $1,600, Goldman Sachs $1,573, Freedom Capital $1,600. Every change with a prior target on record was a raise; BMO, UBS and Bank of America were logged as reiterations. The median is $1,600; our fair value is −47% below it. The wider Street is less uniform: MarketBeat's 29-analyst average is $1,398, below the price, there is one Sell, and the lowest target is $900. Most of the Street sits far above us, and a lone outlier should expect to be wrong more often than not. The difference is not earnings: ours were within 1% of the consensus before the print. It

is the multiple the market will pay in two to three years, and the discount rate. On our earnings the price already needs 29.7x at the end of 2028; a $1,600 target needs more.

The Strongest Case Against Us

Lilly has beaten and raised all year. The revenue guide went from $81.5bn at the midpoint in February to $91.5bn in October, and the Street's numbers have chased it up every quarter. Obesity is a market still being built: Medicare's GLP-1 Bridge enrolled about 1.1 million people in its first three months, retatrutide beat Ozempic head to head on weight loss, and Foundayo gives Lilly an oral option, though its first full quarter came in below the Street's estimate. If 2027–2030 growth looks like 2026, our forecasts are too low.

We agree our forecasts could be too low. The question is by how much it would have to be. Our bull case adds three points of growth every year to 2030, plus a higher margin, higher multiples and faster terminal growth, and it is worth $1,108. For the DCF alone to reach the price, revenue would need roughly 18 more points of growth every year from 2027 to 2030, on top of our 8–12%. Or investors would need to accept a 6.22% return on a company that gets two-thirds of its sales from one molecule. We think the price assumes the first and accepts the second.

Key Risks to Our REDUCE

- **Upside: growth persists.** Retatrutide (filing planned for early 2027), Foundayo outside the US after the CHMP opinion, and broader Medicare coverage could keep growth in double digits beyond 2030. A path four points faster every year to 2030 lifts the DCF to $892.
- **Upside: the market keeps paying for scarcity.** If Lilly still trades on 30x earnings at the end of 2028, our blended value rises to $1,016; no large peer offers this growth.
- **Upside: lower rates.** At an 8.0% WACC the DCF is $891; at 7.5%, $997.
- **Downside: price erosion.** Realised price fell 15% in Q3, 29% outside the US. Trulicity and Verzenio take IRA prices from 2028; competition in obesity is growing.
- **Downside: business development keeps costing more.** At 8% of revenue, close to the FY2021–FY2025 average, the DCF falls to $696.

Company Overview

Eli Lilly is a US pharmaceutical company with four franchises: cardiometabolic health (Mounjaro, Zepbound, Trulicity, Jardiance, Foundayo; 80% of 9M 2026 revenue), oncology (Verzenio, Jaypirca, Inluriyo), immunology (Taltz, Ebglyss, Omvoh) and neuroscience (Kisunla). Revenue reached $65.2bn in 2025 and is guided to $91–92bn for 2026. It is building ten new US manufacturing sites announced since 2020.

Disclaimer

This note is personal and educational analysis by Debjit Mukherjee. It is not investment advice, a recommendation or a solicitation, and the author is not a SEBI-registered investment adviser or research analyst. Financials from Lilly's SEC filings (10-K FY2025, Q3 2026 8-K and 10-Q, 29 October 2026). Market data: 30 October 2026 close; peer estimates S&P Global via stockanalysis (17 October 2026); broker targets MarketBeat (30 October 2026). Every figure traces to the accompanying model; desk assumptions are marked in blue there.